

Risk Management Strategy for ERP System Development

ISM 555 – Case Study Presentation (Week 10)

Presented by: (Team 3)

Jahnavi Chalapaka

Vamshi Aitharaju

Bhavani Durga Koukuntla

Navya Sri Katta

Project Scenario

Client: Large Manufacturing Company

Project: Custom ERP System Development

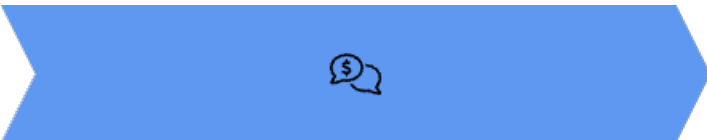
Key Constraints

- **Aggressive Deadlines** - Project must be completed in a compressed timeline, putting pressure on planning and execution.
- **Fixed Financial Resources** - Budget limits require efficient resource allocation and cost control.

Risk Factors

- **Evolving Requirements** (Potential for scope creep) - Continuous changes can impact stability and delivery timelines.
- **Technical Complexity** (Integration with legacy systems) - Older systems pose compatibility and performance risks.

Importance of Risk Management



Avoid Cost Overruns

Identify and manage financial risks early to prevent unexpected project expenses.



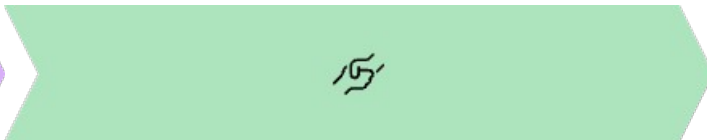
Meet Deadlines

Continuously track progress and respond quickly to delays or development slowdowns.



Ensure Quality

Resolve technical issues early to maintain ERP system stability and performance standards.



Build Stakeholder Trust

Provide regular, transparent updates to ensure stakeholder confidence and active engagement.

Project Objective & Strategy

Purpose of the Project

Develop a comprehensive risk management strategy to support ERP system success, ensuring on-time delivery, cost control, and stakeholder alignment.

Project Goals

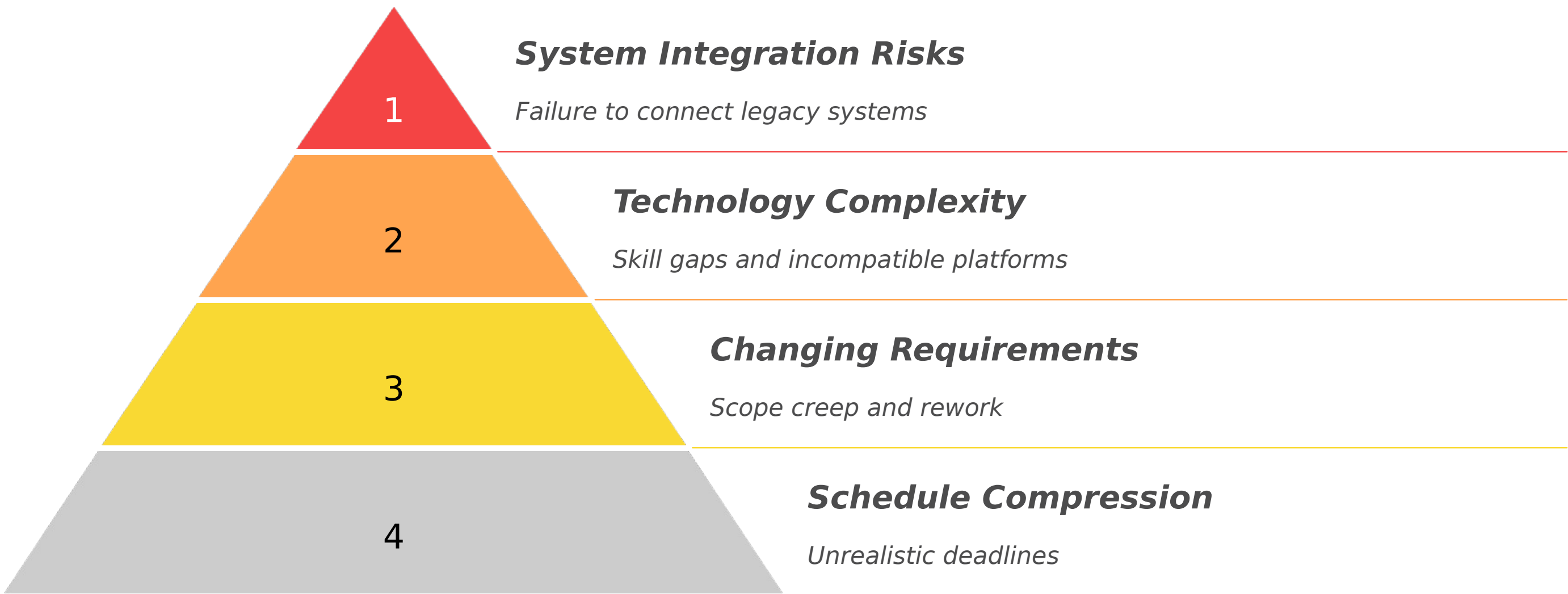
- Identify and assess risks related to scope, schedule, and cost.
- Develop risk mitigation plans, monitoring mechanisms, and communication frameworks.

Risk Strategy Components

- **Proactive Identification:** Detect risks early and throughout development.
- **Risk Scoring & Prioritization:** Use metrics to focus on high-priority risks.
- **Tailored Mitigation Tactics:** Design risk-specific solutions.
- **Stakeholder Alignment:** Keep all parties informed with regular reviews.

Risk Identification

Key risks identified in the ERP project that could impact scope, time, or resources.



Risk Severity Levels

Risk Assessment Framework

Qualitative Risk Assessment Methodology

Our ERP implementation risks are evaluated using a structured Probability-Impact Matrix with weighted factors to determine severity levels and prioritize mitigation resources.

Risk	Likelihood	Impact	Risk Rating
Requirement changes	High	High	Critical
Integration failure	Medium	High	High
Schedule slippage	High	Medium	High
Staff turnover	Medium	Medium	Medium

- **Critical** – Requires immediate action
- **High** – Significant risk, needs monitoring
- **Medium** – Acceptable but should be tracked

Mitigation Strategies

Actionable plans designed to reduce key ERP project risks and ensure delivery success.



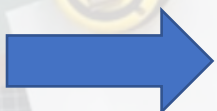
Changing Requirements

Establish a change control board, implement version control, and freeze core requirements after initial design to manage evolving needs. Conduct bi-weekly reviews to ensure alignment with stakeholders.



Integration Failure

Create a dedicated integration environment, conduct iterative testing, define interface specifications, and ensure adherence to common data standards for seamless system connections. Run compatibility tests on a weekly basis.



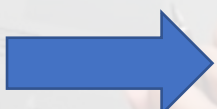
Schedule Slippage

Prioritize tasks, allocate resources based on critical path analysis, hold daily stand-up meetings, negotiate realistic deadlines, and employ time-boxing techniques to maintain project timelines. Use project management software to track progress.



Technical Risks

Develop prototypes, conduct skills gap analysis with training, establish coding standards, utilize automated testing tools, and implement CI/CD pipelines to address technical challenges. Implement security audits.



Team instability

Develop cross-training programs to ensure knowledge transfer, offer competitive compensation and benefits packages, conduct regular team-building activities, and create a supportive work environment to retain talent. Hold weekly 1-1s with managers.

A stylized illustration of a business meeting. Four people are gathered around a light blue table. A man stands at the head of the table, pointing at a large digital screen displaying a dashboard with various charts and data. Three other people (two women and one man) are seated at the table, looking at the screen or their laptops. The background is a light, neutral color.

Communication Plan: Keeping Risk Aligned

Clear, consistent communication to align stakeholders and drive timely risk response.

Goals

- Keep stakeholders informed
- Reduce surprises
- Align mitigation priorities

Plan Elements

- Weekly risk reviews with team
- Bi-weekly updates to client with risk dashboard
- Change log transparency
- Risk owner assignment per risk type

Risk Monitoring & Control

Outlines essential techniques for monitoring risk impact and ensuring timely interventions throughout the project, helping teams stay aligned, avoid surprises, and maintain control over cost and delivery.



Essential Tools:

Effective use of project platforms and communication tools enables real-time risk tracking, team accountability, and quicker response to potential issues across the ERP project lifecycle.

Project Management Platforms:

- Jira, Trello, or MS Project are used to log, assign, and track risks throughout the project lifecycle.

Communication Channels:

Risk Timeline Integration

From scoping to support, each ERP phase carries unique risks. This timeline outlines how targeted mitigation efforts evolve across the lifecycle for maximum project stability.



Conclusion & Recommendations

This section summarizes key takeaways and outlines actionable recommendations to drive ERP project success through continuous risk management and stakeholder alignment.

Final Insights:

- ERP projects are **inherently high-risk**, demanding tailored strategies.
- Effective risk management is **proactive, layered, and continuous**.
- Clear communication and fast adaptation are **non-negotiable for success**.

Recommendations:

Assign risk ownership at the project's outset

- *Clarifies accountability and enables faster response to emerging issues.*

Align risk strategy with agile sprint cycles

- *Ensures that mitigation evolves with project momentum and iteration speed.*

Use visual tools for transparent risk tracking

- *Makes status reporting clear, real-time, and actionable across teams.*

Build flexibility into scope and staffing plans

- *Supports adaptive planning when project conditions change unexpectedly.*

A close-up photograph of a person's hand holding a small, rectangular yellow sticky note. The person is wearing a light blue dress shirt and a dark blue necktie, which are visible in the background but out of focus. The hand is positioned in the lower-left quadrant of the frame, with the thumb and index finger gripping the edges of the note. The sticky note is a pale yellow color and has the words "Thank you!" written on it in a dark blue, cursive script. The text is centered on the note and occupies most of its surface area. The background is a soft, out-of-focus light blue, suggesting an office or professional setting. The lighting is even and bright, highlighting the texture of the hand and the color of the note.

Thank you!